CLASS 10 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 3

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A person keeps Rs 50,000 in a savings account and writes cheques for payments. This account is a: 1

(a) barter **(b)** collateral **(c)** demand deposit **(d)** loan

2. A moneylender charges 5 per cent per month. The annual simple interest rate is: 1

(a) 15 per cent **(b)** 60 per cent **(c)** 30 per cent **(d)** 5 per cent

3. A cooperative society lending to its members is part of the: 1

(a) RBI **(b)** informal sector **(c)** formal sector **(d)** barter system

4. Raju sells rice and uses money to buy cloth later. This shows that money works as: 1

(a) credit **(b)** a medium of exchange
(c) interest **(d)** collateral

5. Which of these exchange examples is a barter? 1

(a) a farmer taking a loan
(b) a farmer paying cash for a chair
(c) a farmer writing a cheque
(d) a farmer giving rice to a carpenter for a chair

6. Why do banks lend out most of the deposits they receive? 1

(a) the RBI forbids them to hold cash
(b) lending at a higher interest than they pay on deposits is their main source of income
(c) depositors do not want interest
(d) deposits cannot be withdrawn

7. Why would a poor family prefer an informal lender? 1

(a) no repayment **(b)** lower interest
(c) RBI protection **(d)** quick loan with few formalities

8. Which statement is true regarding terms of credit? 1

(a) They differ across lenders and borrowers **(b)** They are fixed by the borrower
(c) They are the same for every loan **(d)** They have no interest rate

9. A loan with high interest, collateral and long documentation is unsuitable for: 1

(a) a company **(b)** a poor borrower **(c)** a bank **(d)** a rich borrower

10. Which of these is a good example of an asset that can be used as collateral? 1

(a) a hand-written note **(b)** a plot of land

(c) an unsigned cheque **(d)** a promise to pay

SECTION — B (Very Short Answer Type) 4 × 2 = 8

Answer in about 20–30 words each.

11. How does credit help business expansion? 2

12. Why did people shift from barter to money? 2

13. Why do banks ask for collateral? 2

14. Why are informal lenders popular with the poor? 2

SECTION — C (Short Answer Type) 4 × 3 = 12

Answer in about 40–60 words each.

15. Why must the cost of credit be affordable? 3

16. A bank receives deposits of Rs 5,00,000 and pays 4 per cent interest. It lends 85 per cent at 10 per cent. Find the interest income from loans and the interest paid. 3

17. Explain with an example why barter is inconvenient. 3

OR

How can the government improve access to credit for the poor? 3

18. Explain how deposits make banks lend. 3

OR

What is the role of savings in SHGs? 3

SECTION — D (Long Answer Type) 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain with examples the situations where credit is useful and where it is harmful. 5

OR

Assess the role of the RBI in ensuring that credit is available to all. 5

20. Discuss the importance of collateral and how it affects the poor. 5

OR

Discuss how the legal tender status of the rupee builds trust in the economy. 5

END OF QUESTION PAPER Total: 40 Marks

MASTERMIND